

Northwend: a brief for counsel

Prepared for: a fixed-scope review by a securities / fintech attorney

Prepared by: Andrew Zhang, founder (support@northwend.app)

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What I'm asking for: your view on the questions in section 5, and edits to the enclosed Terms of Use, Privacy Policy and advisor agreement, before I open the advisor marketplace and begin charging advisors.

1. What Northwend is

Northwend (northwend.app; the app at go.northwend.app) is a free web app that helps people **new to investing** learn, set a goal and follow their own investments. It is in an open beta in the United States.

- **People bring their own holdings** from any brokerage by pasting, uploading their brokerage's export, or typing them in. Northwend never connects to a brokerage, never asks for brokerage logins, holds no money and places no trades.
- **Learning first:** short lessons, "practice money" on past prices, a goal and a plan, a monthly check-in, a stress test, a 401(k) fund-menu decoder (which describes funds and fees; it never ranks or picks), and soon Lost & Found (finding old 401(k)s and unclaimed property through official government sources).
- **An AI guide ("Ask Northwend")** explains concepts and does arithmetic. It is instructed never to recommend buying, selling or holding a security or a mix, and a checker on every sentence it writes enforces that. It receives holdings only as percentages, never dollar amounts or account details.
- **Advisors** (registered professionals, licence checked on FINRA BrokerCheck or the SEC's IAPD before access, re-checked yearly) can work with clients they bring: notes, proposals, progress reports and messages. Every advisor artefact carries a line saying the advice is the advisor's, not Northwend's.

Who runs it: one founder, today as an individual. An LLC and insurance (cyber and tech E&O) are planned before any money is charged.

2. How it makes money today

It doesn't. Nobody pays Northwend: not users, advisors, brokerages or fund companies. No ads, no data sales, no commissions, no referral fees. Brokerage and advisor lists are alphabetical and never ranked. The published Terms and Privacy Policy say so.

3. Where I want to take it

Direction (decided): market Northwend as "new to investing? start here". When someone is ready, they can optionally find a guide: an advisor they can contact for, for example, a **one-time review for a flat fee**. Newer advisors who are still building a client base are a named audience: they can be found by people already learning on Northwend.

Built but switched off until your review:

- 1. **"Find a guide" directory:** advisors' own listings (name, firm, registration and CRD with the public regulator link, credentials, how they're paid, minimums, who they serve, states, virtual or in person, a short description, a scheduling link). Shown alphabetically within a few filters (state, meeting style, fee model, who they serve, minimum). No ranking, no featured slots, no reviews, nothing counted about who browses.
- 2. **Introductions:** a person sends a message and, if they choose, a figure-free outline (asset-class percentages, goal type, timeline, stage). The advisor can reply, share a scheduling link or decline.
- 3. **Two-step consent to full sharing:** only after an advisor answers, the person can share their full account in two steps; the exact words shown are recorded (append-only, kept 7 years), as is every page the advisor opens in the account. Either side can end it at any time.
- 4. **An advisor agreement** advisors accept before using the advisor tools (draft text enclosed).

4. How I'd like to earn money later

In order of preference. I'd like your view on each (section 5, question 8).

#	Model	My current view
1	Advisor seats: one flat monthly fee per advisor (e.g. \$29-79), the same no matter how many introductions or clients they get. Founding-seat discount for the first ~20. Paid through Paddle (merchant of record).	First revenue.
2	Advisor tiers: e.g. a free starter seat for newer advisors (a few clients), paid tiers for larger practices.	Maybe; pricing by client count is a change from "flat only".
3	"Plus" for individuals: a few dollars a month for extras (more AI questions, a statement decoder, family sharing). Learning and tracking stay free.	Later.
4	Licensing the learning path to employers, credit unions or schools.	Later.
5	Brokerage affiliate links (paid when someone opens an account).	Avoid: conflicts with "never ranked, nobody pays to be shown".
6	Pay-per-lead, featured listings, or a share of advisors' fees.	Won't do: I understand it would make Northwend a paid promoter or solicitor.

Northwend would **never** take payment for an advisor's services: a one-time review is billed and paid between the person and the advisor.

5. Questions for you

The individual side (live today)

- 1. With the design above (education, calculators, the person's own facts; no recommendation tailored to their answers; AI rules and output checks), does Northwend stay outside "investment adviser" under the Advisers Act and state law, including the publisher exclusion? What would change your answer?
- 2. A setting we call L3 would show a beginner which "common starting point" fits their own timeline (still general, kinds of funds only). Is that acceptable, and with what wording?
- 3. Are the Terms of Use and Privacy Policy (enclosed, live since October 6) adequate for a US-only beta? Specifically: no governing-law clause or arbitration today, a USD 100 liability cap, state privacy laws (CCPA/CPRA and others) at our size, and breach-notification wording.

The advisor side

- 4. Is the advisor agreement (enclosed) enough to make clear the advice, the supervision, Form ADV delivery and record keeping are the advisor's? Anything missing (e.g. Regulation S-P service-provider terms)?
- 5. The licence check is manual (BrokerCheck / IAPD at approval, yearly re-check). Is that a reasonable standard? Should a lapsed registration also pause access to clients' accounts?

The directory and introductions (gate L2)

- 6. Does listing advisors and passing on introductions, **with no payment from advisors tied to introductions or clients**, make Northwend a "promoter" under the SEC Marketing Rule (206(4)-1), a solicitor under state rules, or anything requiring registration? Does that change once advisors pay a flat seat fee?
- 7. Please review the listing fields, the filters (including a possible "offers a one-time review" filter), the alphabetical-only ordering, the intro and two-step consent wording, and the standing line. Our Terms currently say Northwend "does not refer clients to advisors" - how should that be reworded?

Monetization

- 8. For each model in section 4: is it permissible, and what does it require (disclosures, contract terms, registration, state rules)? In particular, does charging advisors a flat seat fee change your answer to question 1 for the individual side?
- 9. What should be in place before the first paid seat (entity, insurance, contracts, sales-tax handling through Paddle, refund terms)?

6. What I've already done to reduce risk

- Education-only design; no tailored picks; named funds only in general material.
- AI: one gateway, written rules in every prompt, a sentence-by-sentence checker, holdings sent only as percentages; never sent email addresses or account details.
- Privacy: no brokerage logins, uploads not stored, account numbers cut to 3 digits, two-step sign-in (required for advisors and admins) with its keys encrypted at rest, data export and deletion on the Account

page, retention periods published and enforced by a nightly job.

- Records: append-only consent and advisor-access logs (7 years), an append-only admin action log (1 year).
- Hosting: Render (US) behind Cloudflare with security headers (A+ on securityheaders.com); database on Neon (US); an incident and breach plan.

7. Enclosed

- 1. Terms of Use (published): northwend.app/terms
- 2. Privacy Policy (published): northwend.app/privacy
- 3. About and disclosures (in the app and at northwend.app/about)
- 4. Advisor agreement (draft; Appendix A below)
- 5. Security page for advisors (draft)
- 6. Our internal map of every feature by gate and classification (LEGAL_GATES), available on request

Thank you. A fixed fee for this scope would be ideal; I'm happy to walk you through the app in a 30-minute call.

Appendix A: Advisor agreement (draft, version 2026-10-06)

- 1. Who you are.** You are a representative of a firm registered with the SEC or a state securities regulator as an investment adviser (or of a broker-dealer, where that is permitted), and the firm's name and the CRD or licence number you gave Northwend are yours and true. You'll tell Northwend straight away if your registration or your firm changes.
- 2. The advice is yours.** Anything you give a client through Northwend - proposals, model portfolios, notes, messages and progress reports - is your own advice, given under your firm's supervision. Northwend doesn't review, approve or supervise it, and each of these carries your name and firm and says so.
- 3. Northwend isn't anyone's adviser.** You won't present Northwend as an investment adviser, or say or suggest that Northwend recommends you, your advice or any investment.
- 4. Your obligations stay yours.** You're responsible for your client agreements, delivering your Form ADV (or your firm's other required disclosures), your books and records, your clients' consent to use Northwend with you, and your firm's compliance policies. Northwend is not your system of record: export what you need to keep.
- 5. What Northwend is.** Northwend is software and a listing. It provides tools, records and - where it's turned on - a directory where people choose whom to contact, in alphabetical order.
- 6. How Northwend is paid.** Never per client, per lead, per introduction or by outcome. Northwend takes no share of your fees and pays or takes nothing for referrals. Any seat fee is one flat fee, shown before you pay it.
- 7. Licence checks.** Northwend looks up your registration (FINRA BrokerCheck or the SEC's IAPD) when you join and about once a year after. Advisor access may be paused if a registration can't be confirmed.
- 8. Changes.** If this agreement changes, you'll see the new version and be asked to accept it before you continue with clients.